remaining reservation for the public sector. Second, to privatize the public sector which still makes and distributes private goods and services.

Perform the Last Rites of IDRA-1951

The strangulating IDRA-1951, which brought in the infamous licence permit raj, was mostly undone by the liberalization policies followed after IP-1991. However, IDRA-1951 is still on the statute book, though its sting has been removed. At present, IDRA-1991 is essentially used for two purposes. First, it prevents the states from instituting licence and control systems though the states are largely unaware of these provisions. Second, there are still five industries (electronic aerospace and defence equipment, specified hazardous chemicals, industrial explosives, tobacco products like cigars, cigarettes and distillation and brewing of alcoholic drinks) for which licencing is still mandatory under the law.

There is no justifiable reason to prescribe the requirement of an industrial licence for any of these remaining five industries.

Defence equipment manufacturing is thriving all over the world—except in communist countries—in the private sector. There is no licencing for making aero-space sector investments in India. The government has recently issued a clarification in this regard as well. But, the private sector has not really come in, in a big way. We need to encourage the private sector to freely invest in defence and aerospace to wipe out the dubious distinction of being the largest importer of defence equipment in the world.

The remaining four other products, such as hazardous substances and tobacco products, are better regulated under environmental and workplace laws than under IDRA-1951. The manufacture of alcoholic drinks is excessively regulated by the states under their excise laws. There is no need for the Centre to provide a licence. Therefore, licencing can be easily done away with for all the five industries.